

Accounting and Budgetary Systems for Engineers - INFO7225

MGEN

**Accounting Information System (AIS) and
Business Process Fundamentals (I)**

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The Fundamentals of Financial Accounting

1. Accounting records, major classes of accounts, and coding systems of accounts in AIS
2. Accounting equation
3. Analyzing transactions using accounting equation
- 4. Accounting info flow (8 steps in the accounting cycle)**

Accounting information flow (8 steps in the accounting cycle)

- 1) Record transaction in a journal**
- 2) Post journal entries to ledger(s)**
- 3) Prepare an unadjusted trial balance**
- 4) Record & post adjusting journal entries**
- 5) Prepare an adjusted trial balance**
- 6) Prepare financial statements**
- 7) Record & post closing journal entries**
- 8) Prepare a post-closing trial balance**

THE ACCOUNTING EQUATION

$$\begin{array}{ccccc} \text{ASSETS} & = & \text{LIABILITIES} & + & \text{EQUITY} \\ \text{(economic resources} & & \text{(creditors' claims} & & \text{(owners' claims} \\ \text{owned by an entity)} & & \text{on assets)} & & \text{on assets)} \end{array}$$

Transaction: a small business borrowed \$2,000 from a local bank (Jan 1, 20xx).

GENERAL JOURNAL			
Date	Account Title	Debit	Credit

NORMAL BALANCE OF MAJOR ACCOUNTS

Assets and **Expenses** have what is known as a normal **debit** balance.

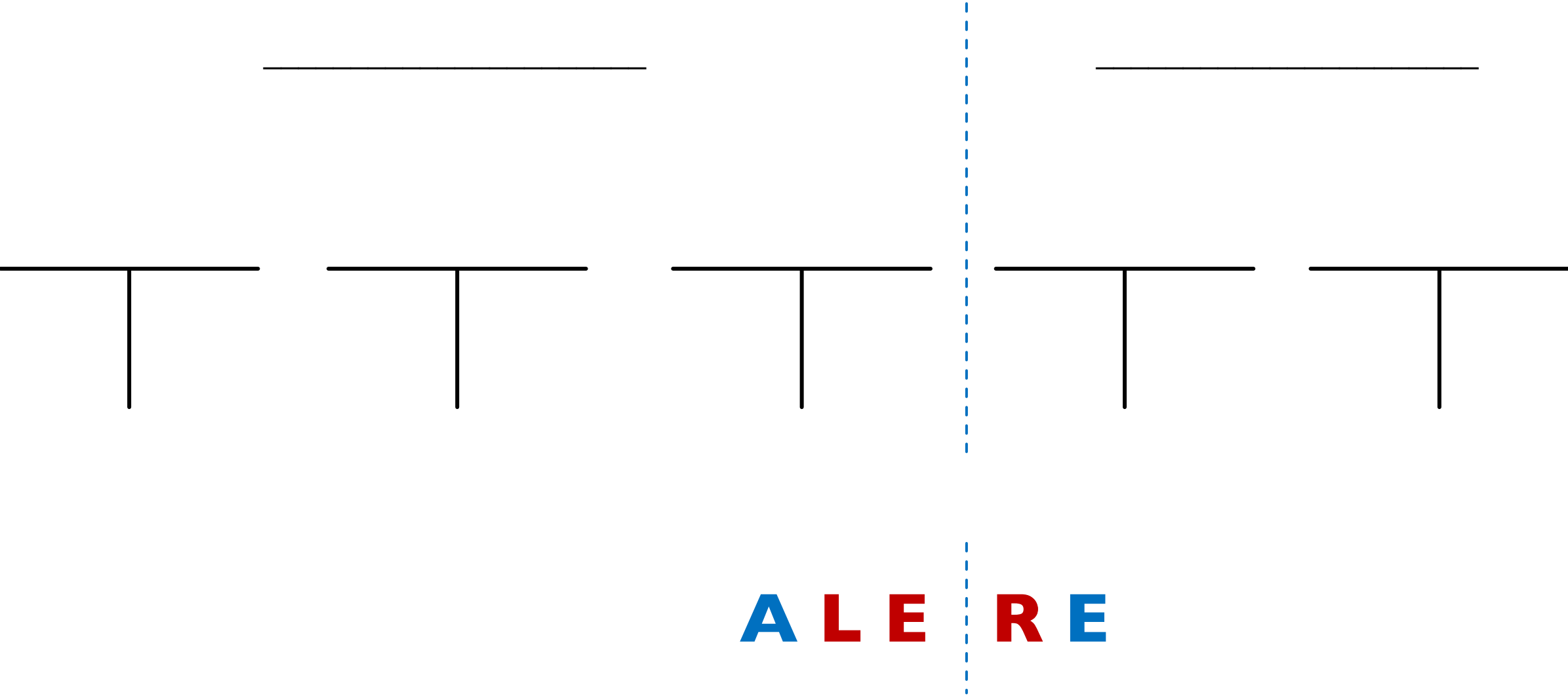
- This simply means that the balance of that item will increase if it is debited, and it will decrease if it is credited.

Liabilities, **Equity**, and **Revenue** have normal **credit** balances.

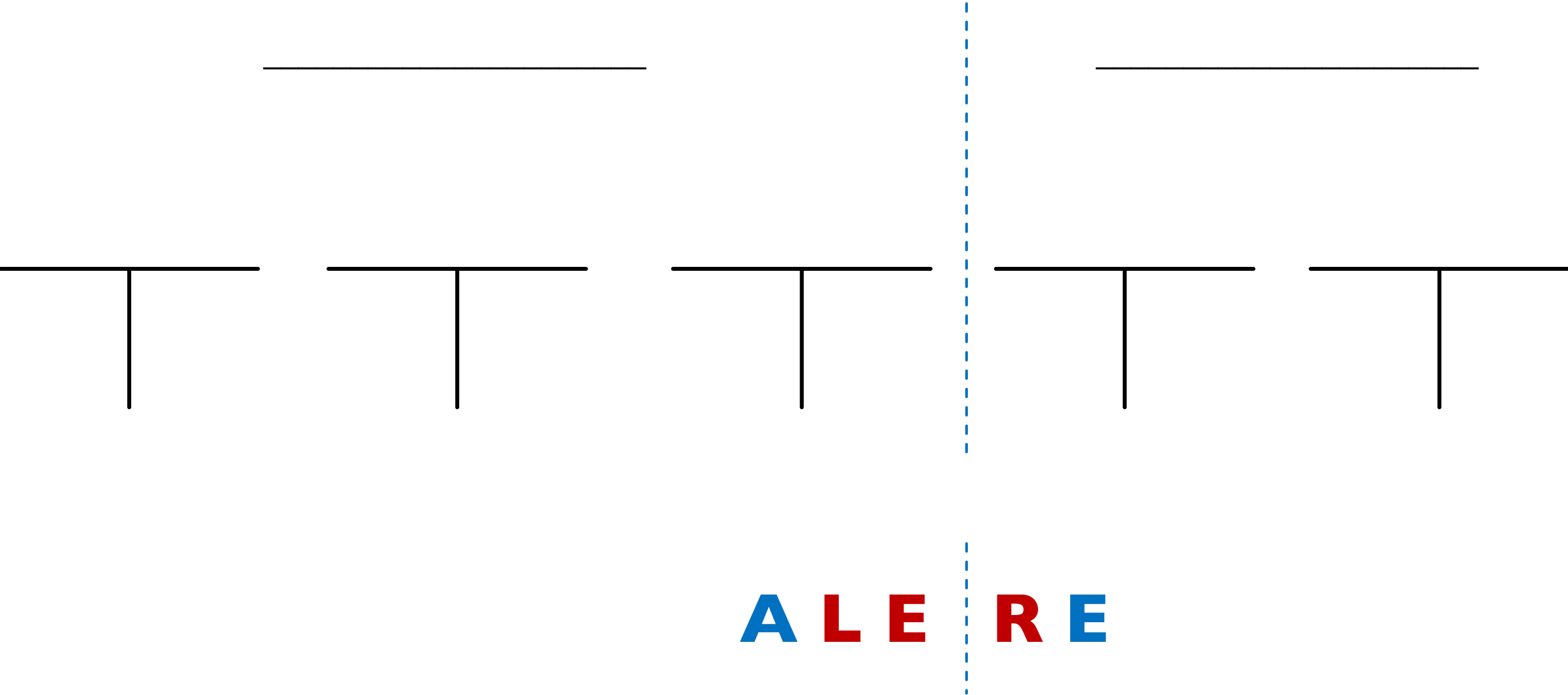
- This means that in order to increase any of these accounts, you would need to credit them.

A **LE** | **RE**

NORMAL BALANCE OF MAJOR ACCOUNTS



NORMAL BALANCE OF MAJOR ACCOUNTS



CONTRA ACCOUNTS

- A *contra account* is an account that is *related* to another account and typically has an *opposite normal balance* that is subtracted from the balance of its related account on the financial statements.
 - ▶ Contra accounts to sales or revenue (contra revenue accounts):
 - Sales returns
 - Sale discounts
 - ▶ Allowance for doubtful accounts (a contra _____ account)
 - ▶ Accumulated depreciation (a contra _____ account)
 - ▶ Dividends (a contra _____ account)



Record Transactions in a Journal: *Journal Entry*

Transactions Summary

- 1. Issued share capital for \$10,000 cash (Jan 1).
- 2. Received a bank loan for \$3,000 (Jan 2).
- 3. Purchased equipment for \$3,000 cash (Jan 3).
- 4. Purchased a truck for \$8,000; paid \$3,000 cash and incurred a bank loan for the balance (Jan 4).
- 5. Paid \$2,400 for a comprehensive one-year insurance policy effective January 1 (Jan 5).
- 6. Paid \$2,000 cash to reduce the bank loan (Jan 10).
- 7. Received \$400 as an advance payment for repair services to be provided over the next two months as follows: \$300 for February, \$100 for March (Jan 15).
- 8. Performed repairs for \$8,000 cash and \$2,000 on credit (Jan 31).
- 9. Paid a total of \$7,100 for operating expenses incurred during the month; also incurred an expense on account for \$700 (Jan 31).
- 10.Dividends of \$200 were paid in cash to the only shareholder, Bob Baldwin (Jan 31).

General Journal

Date		Description	R	Debit	Credit
20XX					
Jan.	1				
	2				
	3				

Transactions Summary

- 1. Issued share capital for \$10,000 cash (Jan 1).
- 2. Received a bank loan for \$3,000 (Jan 2).
- 3. Purchased equipment for \$3,000 cash (Jan 3).
- 4. **Purchased a truck for \$8,000; paid \$3,000 cash and incurred a bank loan for the balance (Jan 4).**
- 5. **Paid \$2,400 for a comprehensive one-year insurance policy effective January 1 (Jan 5).**
- 6. **Paid \$2,000 cash to reduce the bank loan (1/10).**
- 7. **Received \$400 as an advance payment for repair services to be provided over the next two months as follows: \$300 for February, \$100 for March (Jan 15).**
- 8. Performed repairs for \$8,000 cash and \$2,000 on credit (Jan 31).
- 9. Paid a total of \$7,100 for operating expenses incurred during the month; also incurred an expense on account for \$700 (Jan 31).
- 10. Dividends of \$200 were paid in cash to the only shareholder, Bob Baldwin (Jan 31).

General Journal

Page #

Date		Description	R	Debit	Credit
	4				
		To record the purchase of a truck for cash and bank loan.			
	5				
		To record payment of a one-year insurance policy.			
	10				
		To record payment on bank loan.			
	15				
		To record receipt of payment for service not yet performed: \$300 for February, \$100 for March.			

Transactions Summary

- 1. Issued share capital for \$10,000 cash (Jan 1).
- 2. Received a bank loan for \$3,000 (Jan 2).
- 3. Purchased equipment for \$3,000 cash (Jan 3).
- 4. Purchased a truck for \$8,000; paid \$3,000 cash and incurred a bank loan for the balance (Jan 4).
- 5. Paid \$2,400 for a comprehensive one-year insurance policy effective January 1 (Jan 5).
- 6. Paid \$2,000 cash to reduce the bank loan (Jan 10).
- 7. Received \$400 as ... (Jan 15).
- 8. **Performed repairs for \$8,000 cash and \$2,000 on credit (Jan 31).**
- 9. **Paid a total of \$7,100 for operating expenses incurred during the month (rent exp = \$1600; salaries eco = \$3500; supplies exp = \$2000; and truck operating exp = \$700); also incurred an expense on account for \$700 (Jan 31).**
- 10. **Dividends of \$200 were paid in cash to the only shareholder, Bob Baldwin (Jan 31).**

General Journal

Date		Description	R	Debit	Credit
	31				
		To record repair revenue eared in January.			
	31				
		To record expenses incurred and cash payment of exp. in Jan.			
	31				
		To record distribution of dividends.			

THE ACCOUNTING CYCLE: STEPS 1 AND 2

Step 1:

- Transactions are analyzed and journalized.
- Journalizing consists of analyzing transactions as they occur to see how they affect the _____.
- Then, the transactions are recorded _____ in the _____.

Step 2:

- Transactions are summarized _____.
- **Posting** consists of transferring debits and credits from the general journal to the appropriate _____ accounts.

Accounting information flow (8 steps in the accounting cycle)

1) Record transaction in a journal

2) Post journal entries to ledger(s)

3) Prepare an unadjusted trial balance

4) Record & post adjusting journal entries

5) Prepare an adjusted trial balance

6) Prepare financial statements

7) Record & post closing journal entries

General Ledger in T-account Form

Assets		Liabilities		Equity		Revenue		Expenses	

EXAMPLE 1

Record Transaction and Post Information to T-accounts

Prepare journal entries to record the following transactions. Create a T-account for Cash, post any entries that affect the account, and calculate the ending balance for the account. Assume a Cash beginning balance of \$37,400.

A. May 12, collected balance due from customers on account, \$16,000

B. June 10, purchased supplies for cash, \$4,400

Date	Description	Debit	Credit

Cash	

Prepare journal entries to record the following transactions. Create a T-account for Accounts Receivable and Cash, post any entries that affect the account, and calculate the ending balance for the account (assume no beginning balance).

- A. Provided legal services to customers for cash, \$5,600
- B. Provided legal services to customers on account, \$4,700
- C. Collected cash from customer accounts, \$3,500

Accounts Receivable	

Cash	

EXAMPLE 2

Record Transaction and Post Information to T-accounts

[illegible]

ASSETS

LIABILITIES

EQUITY

REVENUE

EXPENSES



Cash	

Bank Loan (Notes Payable)	

Accounting information flow (8 steps in the accounting cycle)

1) Record transaction in a journal

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6) Prepare financial statements

7) Record & post closing journal entries

PREPARE AN UNADJUSTED TRIAL BALANCE

- Purpose: start of financial statements preparation
- Purpose: help prove the accounting equation is in balance.
- The account balances in the _____ are used to prepare the trial balance.
- The trial balance is an internal report that lists all the account balances _____.
- The total debits _____ total credits on the trial balance.
- The (adjusted) trial balance is used in the preparation of financial statements.

1. Record transaction in a journal.
2. Post journal entries to ledger(s).
3. Prepare an unadjusted trial balance.
4. Record and post adjusting journal entries.
5. Prepare an adjusted trial balance.
6. Prepare financial statements.
7. Record and post closing journal entries.
8. Prepare a post-closing trial balance.

EXAMPLE

PREPARE AN UNADJUSTED TRIAL BALANCE

Prepare an unadjusted trial balance, in correct format, from the alphabetized account information from the ledger accounts summarized as follows. Assume all accounts have normal balances.

Accounts payable	\$ 8,005
Accounts receivable	12,500
Cash	56,015
Common stock	28,000
Fees earned revenue	75,510
Operating expense	43,000

Account	Debit	Credit
Total		

Big Dog Carworks Corp.
Unadjusted Trial Balance
At January 31, 20xx

<u>Acct.</u>	<u>Account</u>	<u>Debit</u>	<u>Credit</u>
101	Cash	\$3,700	
110	Accounts receivable	2,000	
161	Prepaid insurance	2,400	
183	Equipment	3,000	
184	Truck	8,000	
201	Bank loan		\$6,000
210	Accounts payable		700
247	Unearned revenue		400
320	Share capital		10,000
330	Dividends	200	
450	Repair revenue		10,000
654	Rent expense	1,600	
656	Salaries expense	3,500	
668	Supplies expense	2,000	
670	Truck operation expense	700	
		<u>\$27,100</u>	<u>\$27,100</u>

Accounting information flow (8 steps in the accounting cycle)

- 1) Record transaction in a journal
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**The adjustment
process**

FIVE TYPES OF ADJUSTING ENTRIES

Adjust for
prepaid
assets¹

Adjust for
unearned
revenues²

Adjust for plant
& equipment
assets³

Adjust for
accrued
revenues⁴

Adjust for
accrued
expenses⁵

1. **Deferred expenses (Prepaid expenses; is _____)**

Expenses paid for before their use. Some examples include supplies, insurance, and rent. When they are used, this asset's value is reduced and an expense is recognized (debit _____/credit _____).

2. **Deferred revenues (unearned revenues; is _____)**

Customer advanced payments for product or services yet to be provided. When the company provides the product or service, revenue is then recognized (debit _____/credit _____).

3. **Depreciation of fixed assets:** debit _____ / credit _____

4. **Accrued revenues**

Revenues earned in a period but have yet to be recorded and no money has been collected. Accrued revenues are updated at the end of the period to recognize revenue and money owed to the company (debit _____/credit _____).

5. **Accrued expenses** (examples: interest on loans; taxes)

Accrued expenses are incurred in a period but have yet to be recorded and no money has been paid. Accrued expenses are updated to reflect the expense and the company's liability (debit _____/credit _____).

de·fer·ral | də'fərəl |

noun

a postponement of an action or event:

they agreed to a deferral of industrial action | they can offer deferrals on loan repayments | it is unclear whether deferral of feeding is beneficial.

ac·cru·al | ə'kr̥ooəl |

noun

- the accumulation or increase of something over time, especially payments or benefits: *all debts must be frozen with no further accrual of interest*
- **a charge for work that has been done but not yet invoiced, for which provision is made at the end of a financial period:** *before closing off an accounting period it is essential that provision is made for accruals.*

Big Dog Carworks Corp.
Unadjusted Trial Balance
At January 31, 20xx

<u>Acct.</u>	<u>Account</u>	<u>Debit</u>	<u>Credit</u>
101	Cash	\$3,700	
110	Accounts receivable	2,000	
161	Prepaid insurance	2,400	
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184	Truck	8,000	
201	Bank loan		\$6,000
210	Accounts payable		700
247	Unearned revenue		400
320	Share capital		10,000
330	Dividends	200	
450	Repair revenue		10,000
654	Rent expense	1,600	
656	Salaries expense	3,500	
668	Supplies expense	2,000	
670	Truck operation expense	700	
		<u>\$27,100</u>	<u>\$27,100</u>

ADJUSTING DEFERRED EXPENSE ACCOUNTS

- Big Dog paid for a 12-month insurance policy that went into effect on January 1 (transaction 5).
- On January 31, one month or \$___ of the policy has expired (been used up) (= \$___/___ month = \$___)
- The adjusting entry on Jan. 31 to transfer \$___ out of _____ and into _____ is:

Journal entry for the initial payment (Jan 1):

	Debit	Credit

Prepaid Insurance

|

Adjusting entry at the end of January:

	Debit	Credit

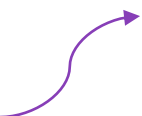
Insurance Expense

|

DEPRECIATION METHOD USED IN FINANCIAL REPORTING

Straight-line Method

$$\text{Depreciation (d)} = \frac{\text{cost basis} - \text{salvage value}}{\text{useful life}}$$

 = purchase cost + transportation + installation; **known**

 *Estimated values*



ADJUST FOR DEPRECIATION

Equipment:

- The **equipment** was recorded as a plant and equipment asset because it has an estimated useful life *greater than 1 year*.
- Need two estimated values: useful life and salvage value (10 years or 120 months; residual value of \$0).
- Depreciation expense for January:

Truck:

- Estimated useful life = 80 months
- Estimated residual value = \$0
- Depreciation expense for January:

ADJUSTING ENTRIES & POST ADJUSTING ENTRIES TO T-ACCOUNTS

Adjusting entry for the depreciation of equipment in January:

	Debit	Credit

Adjusting entry for the depreciation of truck in January:

	Debit	Credit

Truck	Accumulated Depreciation – Truck	Depreciation Expense – Truck
8,000	100	100

The Truck account remains unchanged by the adjusting entry.

A contra account, Accumulated Depreciation, is increased by \$100.

Depreciation Expense is increased by \$100, the amount of the truck's cost that has been allocated to expense.

- If depreciation adjustments are not recorded, assets on the balance sheet would be _____
- Additionally, expenses on the income statement would be _____
- **Note:** Land is a long-lived asset. However, it is not depreciated because it does not get used up over time. Therefore, land is often referred to as a non-depreciable asset.

ADJUSTING DEFERRED REVENUE ACCOUNTS

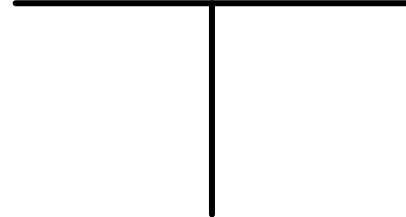
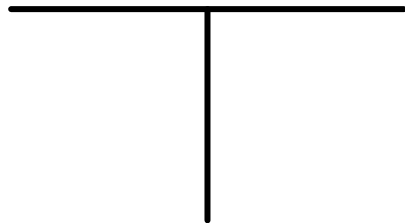
- On January 15, Big Dog received a \$400 cash payment in advance of services being performed. (transaction 7).
- On January 31, \$300 of the \$400 unearned amount has been earned (different from original plan of \$300 for February and \$100 for March).
- The adjusting entry on January 31 to transfer \$300 out of deferred revenue and into repair revenue is:

Journal entry for the initial payment:

	Debit	Credit

Adjusting entry at the end of January:

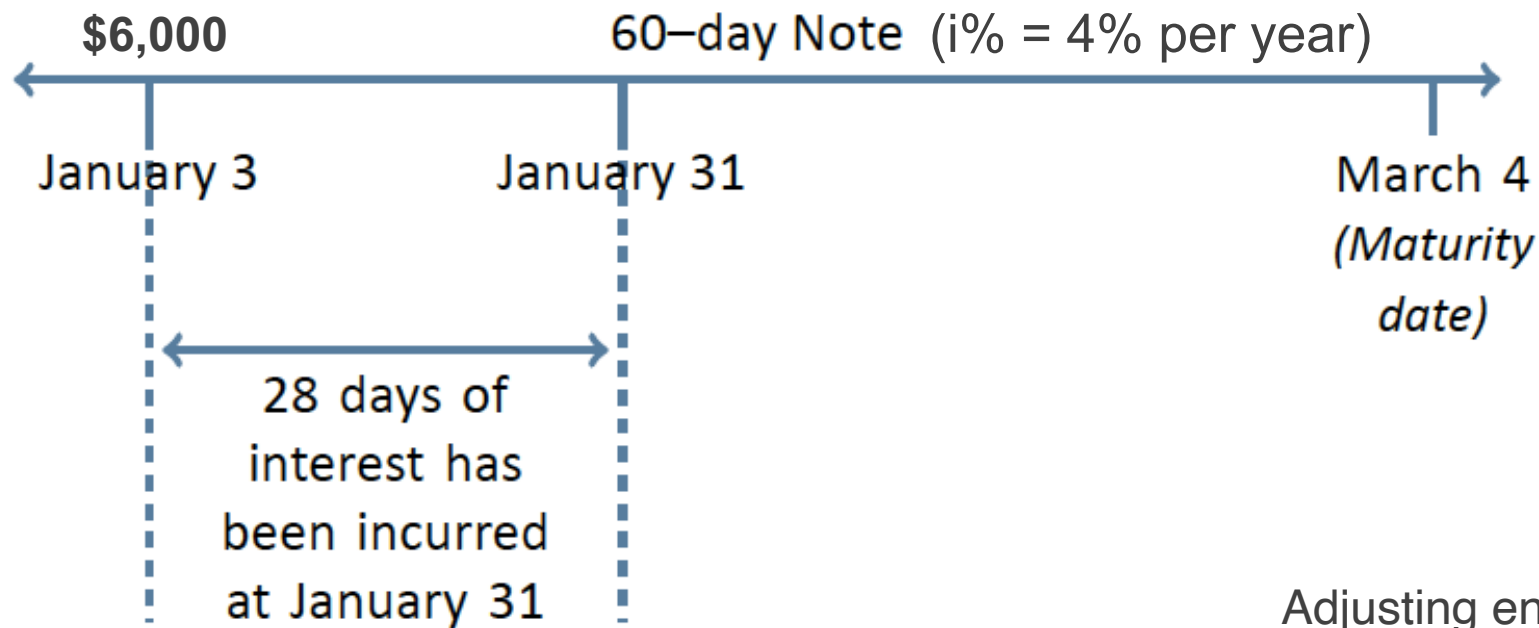
	Debit	Credit



- If adjustments are not recorded, liabilities would be _____.
- Additionally, revenue would be _____.

ADJUST FOR ACCRUED EXPENSES: INTEREST ON LOAN

Interest incurred during an accounting period



Adjusting entry at the end of January:

	Debit	Credit

ADJUST FOR ACCRUED EXPENSES: INCOME TAX

Accruing Income Tax Expense

- Another adjustment that is required for Big Dog Carworks Corp. involves the recording of corporate income taxes.
- In most jurisdictions, a corporation is taxed as an entity separate from its shareholders.
- For simplicity, assume BDCC's income tax due for January 2015 is \$500.

JOURNAL			
Date	Account	Debit	Credit

Big Dog Carworks Corp.
Unadjusted Trial Balance
At January 31, 20xx

<u>Acct.</u>	<u>Account</u>	<u>Debit</u>	<u>Credit</u>
101	Cash	\$3,700	
110	Accounts receivable	2,000	
161	Prepaid insurance	2,400	
183	Equipment	3,000	
184	Truck	8,000	
201	Bank loan		\$6,000
210	Accounts payable		700
247	Unearned revenue		400
320	Share capital		10,000
330	Dividends	200	
450	Repair revenue		10,000
654	Rent expense	1,600	
656	Salaries expense	3,500	
668	Supplies expense	2,000	
670	Truck operation expense	700	
		<u>\$27,100</u>	<u>\$27,100</u>

Big Dog Carworks Corp.
Adjusted Trial Balance
At January 31, 20xx

<u>Account</u>	<u>Account Balance</u>	<u>Debit</u>	<u>Credit</u>
Cash	\$3,700		
Accounts receivable	2,400		
Prepaid insurance	2,200		
Equipment	3,000		
Accumulated depreciation – equipment			\$25
Truck	8,000		
Accumulated depreciation – truck			100
Bank loan			6,000
Accounts payable			700
Interest payable			18
Unearned repair revenue			100
Income tax payable			500
Share capital			10,000
Dividends	200		
Repair revenue			10,700
Depreciation expense – equipment	25		
Depreciation expense – truck	100		
Rent expense	1,600		
Insurance expense	200		
Interest expense	18		
Salaries expense	3,500		
Supplies expense	2,000		
Truck operation expense	700		
Income tax expense	500		
Total debits and credits	<u>\$28,143</u>	<u>\$28,143</u>	<u>\$28,143</u>

Accounting information flow (8 steps in the accounting cycle)

- 1) Record transaction in a journal**
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Financial Statements: Introduction

FOUR FINANCIAL STATEMENTS

- 1. The Income Statement**
- 2. The Statement of Shareholders' Equity**
- 3. The Balance Sheet**
- 4. The Statement of Cash Flows**

INCOME STATEMENT

Big Dog Carworks Corp.

Income Statement

For the Month Ended January 31, 2015

Revenues

Repair revenues	\$10,000
-----------------	----------

Expenses

Rent expense	\$1,600
--------------	---------

Salaries expense	3,500
------------------	-------

Supplies expense	2,000
------------------	-------

Fuel expense	700
--------------	-----

Total expenses	7,800
----------------	-------

Net income	\$2,200
------------	---------

The heading of the income statement includes three lines:

- The first line lists the business name.
- The middle line indicates the financial statement that is being presented.
- The last line indicates the time frame of the financial statement. Do not forget the income statement is for a period of time (the month of January in our example).

There are three columns:

- Going from left to right, the first column is the category heading or account.
- The second column is used when there are numerous accounts in a particular category (Expenses, in our example).
- The third column is a total column. In this illustration, it is the column where subtotals are listed and net income is determined (subtracting Expenses from Revenues).

INCOME STATEMENT

The Income Statement

Big Dog Carworks Corp.		
Income Statement		
For the Month Ended January 31, 2015		
<i>Revenues</i>		
Repair revenues		\$10,000
<i>Expenses</i>		
Rent expense	\$1,600	
Salaries expense	3,500	
Supplies expense	2,000	
Fuel expense	700	
Total expenses		7,800
Net income		\$2,200

The heading shows the name of the entity, the type of financial statement, and the period-in-time date.

The net income is transferred to the statement of stockholders' equity.

THE STATEMENT OF SHAREHOLDERS' EQUITY

Statement of Shareholders' Equity

Big Dog Carworks Corp.
Statement of Stockholders' Equity
For the Month Ended January 31, 2015

The heading shows the name of the entity, the type of financial statement, and the period-in-time date.

	Common Stock	Retained Earnings	Total Equity
Opening balance			
Ending balance			

THE STATEMENT OF SHAREHOLDERS' EQUITY

Big Dog Carworks Corp.
Statement of Stockholders' Equity
For the Month Ended January 31, 2015

Statement of Shareholders' Equity

	Common Stock	Retained Earnings	Total Equity
Opening balance			
Stock issued			
Net income			
Dividends			
Ending balance			

THE STATEMENT OF SHAREHOLDERS' EQUITY

Big Dog Carworks Corp.
Statement of Stockholders' Equity
For the Month Ended January 31, 2015

Statement of Shareholders' Equity

	Common Stock	Retained Earnings	Total Equity
Opening balance	\$ -0-	\$ -0-	\$ -0-
Stock issued	10,000		10,000
Net income		2,200	2,200
Dividends		(200)	(200)
Ending balance	<u>\$10,000</u>	<u>\$2,000</u>	<u>\$12,000</u>

THE STATEMENT OF SHAREHOLDERS' EQUITY

Big Dog Carworks Corp.
Statement of Stockholders' Equity
For the Month Ended January 31, 2015

Statement of Shareholders' Equity

	Common Stock	Retained Earnings	Total Equity
Opening balance	\$ -0-	\$ -0-	\$ -0-
Stock issued	10,000		10,000
Net income		2,200	2,200
Dividends		(200)	(200)
Ending balance	<u>\$10,000</u>	<u>\$2,000</u>	<u>\$12,000</u>

These totals are transferred
to the balance sheet at Jan-
uary 31, 2015.

A blue line with two upward-pointing arrows originates from the bottom of the text box and points to the ending balance of Common Stock (\$10,000) and Retained Earnings (\$2,000) in the table above.

The Balance Sheet

The heading shows the name of the entity, the type of financial statement, and the point-in-time date.

Liabilities	
Accounts payable	\$
Unearned revenue	
Notes payable	
Total liabilities	
Equity	
Common stock	\$
Retained earnings	
Total equity	
Total liabilities and equity	

THE BALANCE SHEET

Big Dog Carworks Corp.
Balance Sheet
At January 31, 2015

The Balance Sheet

Assets		Liabilities	
Cash	\$ 3,700	Accounts payable	\$ 700
Accounts receivable	2,000	Unearned revenue	400
Prepaid insurance	2,400	Notes payable	6,000
Equipment	3,000	Total liabilities	\$ 7,100
Truck	8,000		
		Equity	
		Common stock	\$10,000
		Retained earnings	2,000
		Total equity	12,000
Total assets	<u>\$19,100</u>	Total liabilities and equity	<u>\$19,100</u>

THE BALANCE SHEET

Big Dog Carworks Corp.
Balance Sheet
At January 31, 2015

The Balance Sheet

Assets		Liabilities	
Cash	\$ 3,700	Accounts payable	\$ 700
Accounts receivable	2,000	Unearned revenue	400
Prepaid insurance	2,400	Notes payable	6,000
Equipment	3,000	Total liabilities	\$ 7,100
Truck	8,000		
		Equity	
		Common stock	\$10,000
		Retained earnings	2,000
		Total equity	12,000
Total assets	\$19,100	Total liabilities and equity	\$19,100

Total assets (\$19,100 here) always equal Total liabilities (\$7,100) plus Equity (\$12,000).



THE CLASSIFIED BALANCE SHEET

THE CLASSIFIED BALANCE SHEET

- A classified balance sheet organizes the asset and liability accounts into categories.
- The classification of asset and liability accounts into meaningful categories is designed to facilitate the analysis of balance sheet information by external users.

Assets	Liabilities
Current assets	Current liabilities
Long-term assets:	Long-term liabilities
Long-term investments	
Property, plant, & equipment	
Intangible assets	
Other assets	

CURRENT ASSETS

- Current assets are those resources that the entity expects to convert to cash, or to consume during the next year or within the operating cycle of the entity, whichever is longer:
 - ✓ Cash; short-term investments; notes receivable; merchandise inventory; supplies; prepaid expenses
- On the balance sheet, current assets are normally reported before non-current assets. They are listed by decreasing levels of *liquidity* — their ability to be converted into cash. Therefore, cash appears first under the current asset heading since it is already liquid.

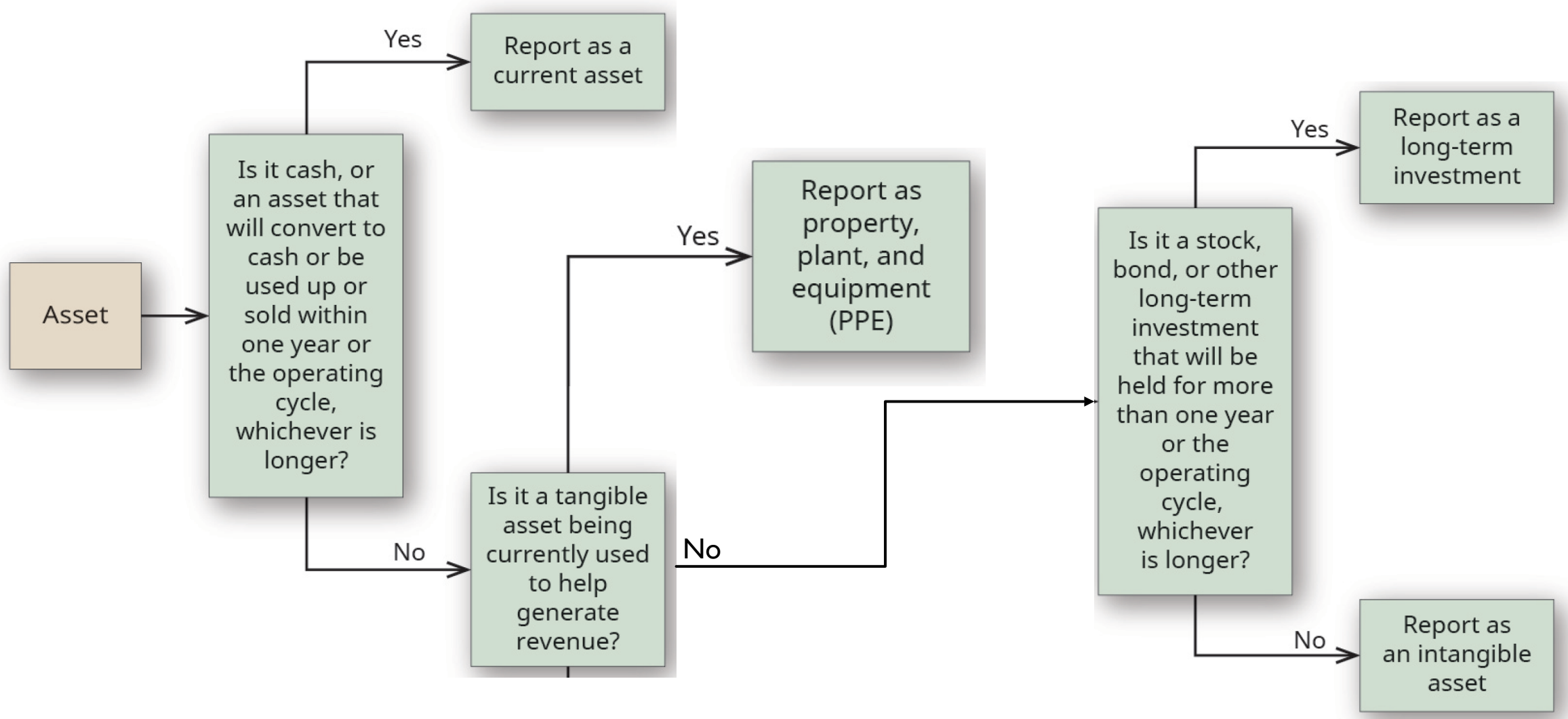
NON-CURRENT ASSETS: PPE

- Assets that will be useful for more than one year; they are sometimes referred to as long-lived assets.
 - ▶ Include property, plant, and equipment (PPE) items used in the operations of the business.
 - ▶ Some examples of PPE are:
 - a) land
 - b) buildings
 - c) equipment, and
 - d) motor vehicles such as trucks

NON-CURRENT ASSETS: INTANGIBLE ASSETS

- Other types of non-current assets include long-term investments and intangible assets.
 - ▶ Intangible assets are resources that do not have a physical form and whose value comes from the rights held by the owner.
 - ▶ They are used over the long term to produce or sell products and services and include:
 - ✓ copyrights
 - ✓ patents
 - ✓ trademarks, and
 - ✓ franchises

ASSET CLASSIFICATION FLOWCHART



CURRENT LIABILITIES

- Obligations that must be paid within the next 12 months or within the entity's next operating cycle, whichever is longer.
- They are shown first in the liabilities section of the balance sheet and generally listed in order of maturity (their due dates).
- The order of liabilities is not as structured as that of assets and may vary somewhat from company to company.
- Examples:
 - ✓ AP, unearned revenue, accrued liabilities such as interest payable and wages payable, income taxes payable, the current portion of long-term liabilities

NON-CURRENT LIABILITIES

- Also referred to as long-term liabilities
- Borrowings that do not require repayment for more than one year, such as the long-term portion of a bank loan or a mortgage.
 - A mortgage is a liability that is secured by real estate.

THE CLASSIFIED BALANCE SHEET

Big Dog Carworks Corp.
Balance Sheet
At December 31, 2018

<i>Assets</i>			<i>Liabilities</i>		
	2018	2017		2018	2017
<i>Current assets</i>			<i>Current liabilities</i>		
Cash	\$ 10,800	\$ 12,000	Accounts payable	\$ 24,000	\$ 22,000
Accounts receivable	26,000	24,000	Income taxes payable	15,000	10,000
Merchandise inventories	120,000	100,000	Current portion of long-		
Prepaid expenses	1,200	570	term notes	39,000	82,250
Total current assets	<u>\$158,000</u>	<u>\$136,570</u>	Total current liabilities	<u>\$ 78,000</u>	<u>\$114,250</u>
<i>Property, plant, and</i>			<i>Long-term liabilities</i>		
<i>equipment (Note 4)</i>	126,645	10,430	Notes payable (Note 5)	163,145	-0-
			Total liabilities	<u>\$241,145</u>	<u>\$114,250</u>
			<i>Equity</i>		
			Common stock (Note 6)	\$ 11,000	\$ 11,000
			Retained earnings	32,500	21,750
			Total equity	<u>43,500</u>	<u>32,750</u>
Total assets	<u><u>\$284,645</u></u>	<u><u>\$147,000</u></u>	Total liabilities and equity	<u><u>\$284,645</u></u>	<u><u>\$147,000</u></u>

Notes are included at the end of the financial statements. Among other purposes, they provide details about a particular category on the balance sheet or income statement.

Apple Inc.

CONDENSED CONSOLIDATED BALANCE SHEETS (Unaudited)

(In millions, except number of shares which are reflected in thousands and par value)

	December 28, 2019	September 28, 2019
ASSETS:		
Current assets:		
Cash and cash equivalents	\$ 39,771	\$ 48,844
Marketable securities	67,391	51,713
Accounts receivable, net	20,970	22,926
Inventories	4,097	4,106
Vendor non-trade receivables	18,976	22,878
Other current assets	12,026	12,352
Total current assets	163,231	162,819
Non-current assets:		
Marketable securities	99,899	105,341
Property, plant and equipment, net	37,031	37,378
Other non-current assets	40,457	32,978
Total non-current assets	177,387	175,697
Total assets	\$ 340,618	\$ 338,516

LIABILITIES AND SHAREHOLDERS' EQUITY:

Current liabilities:

Accounts payable	\$	45,111	\$	46,236
Other current liabilities		36,263		37,720
Deferred revenue		5,573		5,522
Commercial paper		4,990		5,980
Term debt		10,224		10,260
Total current liabilities		<u>102,161</u>		<u>105,718</u>

Non-current liabilities:

Term debt		93,078		91,807
Other non-current liabilities		55,848		50,503
Total non-current liabilities		<u>148,926</u>		<u>142,310</u>
Total liabilities		<u>251,087</u>		<u>248,028</u>

Commitments and contingencies

Shareholders' equity:

Common stock and additional paid-in capital, \$0.00001 par value: 12,600,000 shares authorized; 4,384,959 and 4,443,236 shares issued and outstanding, respectively		45,972		45,174
Retained earnings		43,977		45,898
Accumulated other comprehensive income/(loss)		(418)		(584)
Total shareholders' equity		<u>89,531</u>		<u>90,488</u>
Total liabilities and shareholders' equity	\$	<u>340,618</u>	\$	<u>338,516</u>



STATEMENT OF CASH FLOWS

Differentiate Cash Flows From Operating, Investing, & Financing Activities

Operations



- Provided by sales/revenue
- Used in operations – expenses (vendors and employees) and inventory purchases

Investing



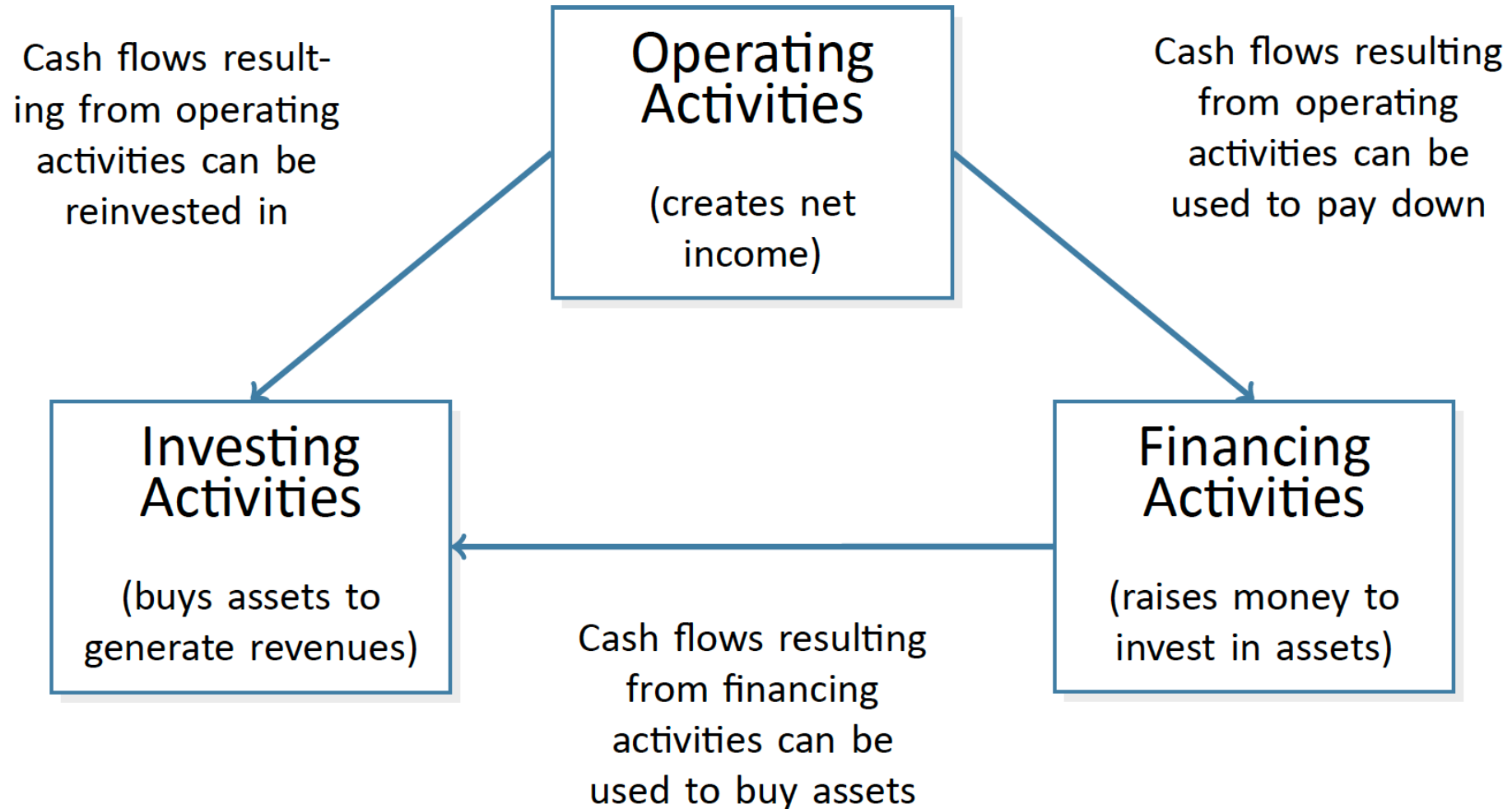
- Proceeds from the sale of fixed assets or other investments
- Used in purchasing new equipment, facilities, and investing excess cash into investment vehicles

Finance



- Provided via borrowings or equity infusions from shareholders
- Used for paying principal payments on debt owed and dividends or distributions paid out to shareholders

RELATIONSHIPS AMONG THE THREE TYPES OF BUSINESS ACTIVITIES



Statement of Cash Flows

Big Dog Carworks Corp.
Statement of Cash Flows
For the Month Ended January 31, 2015

The heading shows the name of the entity, the type of financial statement, and the period-in-time date.

Statement of Cash Flows

Big Dog Carworks Corp. Statement of Cash Flows For the Month Ended January 31, 2015

Operating activities:	
Net income	\$
Adjustments:	
Increase in accounts receivable	
Increase in prepaid insurance	
Increase in accounts payable	
Increase in unearned revenues	
Net cash used by operating activities	_____ \$
Investing activities:	
Purchase of equipment	
Purchase of truck	
Net cash used by investing activities	_____ \$
Financing activities:	
Issued shares of stock	
Borrowed from bank	
Payment on bank loan	
Paid dividends	
Net cash provided by financing activities	_____ \$
Net increase in cash	
Cash balance, January 1	_____
Cash balance, January 31	_____ \$

Statement of Cash Flows

Big Dog Carworks Corp.
Statement of Cash Flows
For the Month Ended January 31, 2015

Operating activities:		
Net income	\$ 2,200	
Adjustments:		
Increase in accounts receivable	(2,000)	
Increase in prepaid insurance	(2,400)	
Increase in accounts payable	700	
Increase in unearned revenues	400	
Net cash used by operating activities		<u>\$(1,100)</u>
Investing activities:		
Purchase of equipment	\$(3,000)	
Purchase of truck	(3,000)	
Net cash used by investing activities		<u>\$(6,000)</u>
Financing activities:		
Issued shares of stock	\$10,000	
Borrowed from bank	3,000	
Payment on bank loan	(2,000)	
Paid dividends	(200)	
Net cash provided by financing activities		<u>\$ 10,800</u>
Net increase in cash		3,700
Cash balance, January 1		-0-
Cash balance, January 31		<u><u>\$3,700</u></u>

Statement of Cash Flows

Big Dog Carworks Corp. Statement of Cash Flows For the Month Ended January 31, 2015

Operating activities:		
Net income	\$ 2,200	
Adjustments:		
Increase in accounts receivable	(2,000)	
Increase in prepaid insurance	(2,400)	
Increase in accounts payable	700	
Increase in unearned revenues	400	
Net cash used by operating activities		<u>\$(1,100)</u>
Investing activities:		
Purchase of equipment	\$(3,000)	
Purchase of truck	(3,000)	
Net cash used by investing activities		<u>\$(6,000)</u>
Financing activities:		
Issued shares of stock	\$10,000	
Borrowed from bank	3,000	
Payment on bank loan	(2,000)	
Paid dividends	(200)	
Net cash provided by financing activities		<u>\$ 10,800</u>
Net increase in cash		3,700
Cash balance, January 1		-0-
Cash balance, January 31		<u><u>\$3,700</u></u>

This agrees with the Cash amount shown on the Balance Sheet at January 31, 2015.



Prepare Financial Statements

Adjusted Trial Balance at the End of of a Reporting Period		Account Balance	
	Account	Debit	Credit
	Cash	\$ 3,700	
	Accounts receivable	2,400	
	Prepaid insurance	2,200	
	Equipment	3,000	
	Accumulated depreciation – equipment		\$ 25
	Truck	8,000	
	Accumulated depreciation – truck		100
	Accounts payable		700
	Unearned revenue		100
	Interest payable		19
	Income tax payable		500
	Notes payable		6,000
	Common stock		10,000
	Dividends	200	
	Repair revenue		10,700
	Depreciation expense – equipment	25	
	Depreciation expense – truck	100	
	Rent expense	1,600	
	Insurance expense	200	
	Interest expense	19	
	Salaries expense	3,500	
	Supplies expense	2,000	
	Truck operation expense	700	
	Income tax expense	500	
	Total debits and credits	\$28,144	\$28,144

<u>Account</u>	<u>Debit</u>	<u>Credit</u>
Cash	\$ 3,700	
Accounts receivable	2,400	
Prepaid insurance	2,200	
Equipment	3,000	
Accum. dep. – equipment		\$ 25
Truck	8,000	
Accum. dep. – truck		100
Accounts payable		700
Unearned revenue		100
Interest payable		19
Income tax payable		500
Notes payable		6,000
Common stock		10,000
Dividends	200	
Repair revenue		10,700
Dep. expense – equipment	25	
Dep. expense – truck	100	
Rent expense	1,600	
Insurance expense	200	
Interest expense	19	
Salaries expense	3,500	
Supplies expense	2,000	
Truck operation expense	700	
Income tax expense	500	
	<u>\$28,144</u>	<u>\$28,144</u>



Big Dog Carworks Corp.		
For the Month Ended January 31, 2021		
Revenues		
Repair revenue		\$10,700
Expenses		
Salaries expense	\$ 3,500	
Supplies expense	2,000	
Rent expense	1,600	
Truck operation expense	700	
Insurance expense	200	
Dep. expense – truck	100	
Dep. expense – equipment	25	
Interest expense	19	
Income tax expense	500	
Total expenses		<u>8,644</u>
Net income		<u>\$2,056</u>

<u>Account</u>	<u>Debit</u>	<u>Credit</u>
Cash	\$ 3,700	
Accounts receivable	2,400	
Prepaid insurance	2,200	
Equipment	3,000	
Accum. dep. – equipment		\$ 25
Truck	8,000	
Accum. dep. – truck		100
Accounts payable		700
Unearned revenue		100
Interest payable		19
Income tax payable		500
Notes payable		6,000

Common stock

Dividends 200

Repair revenue		10,700
Dep. expense – equipment	25	
Dep. expense – truck	100	
Rent expense	1,600	
Insurance expense	200	
Interest expense	19	
Salaries expense	3,500	
Supplies expense	2,000	
Truck operation expense	700	
Income tax expense	500	
	<u>\$28,144</u>	<u>\$28,144</u>

Common Stock and Dividends are transferred to the Statement of Stockholders' Equity. Dividends is part of Retained Earnings because it is a distribution of Net Income.



1

Big Dog Carworks Corp.
Income Statement
For the Month Ended January 31, 2021

Revenues	
Repair revenue	\$10,700
Expenses	
Salaries expense	\$ 3,500
Supplies expense	2,000
Rent expense	1,600
Truck operation expense	700
Insurance expense	200
Dep. expense – truck	100
Dep. expense – equipment	25
Interest expense	19
Income tax expense	500
Total expenses	<u>8,644</u>
Net income	<u>\$2,056</u>

Big Dog Carworks Corp.
Statement of Stockholders' Equity
For the Month Ended January 31, 2021

Net Income is transferred to the Statement of Stockholders' Equity as part of Retained Earnings.

Balance at beginning of period

Stock issued

Dividends

Net income

Balance at end of period

	<i>Common stock</i>	<i>Retained earnings</i>	<i>Total equity</i>
Balance at beginning of period	\$ -0-	\$ -0-	\$ -0-
Stock issued			
Dividends			
Net income			
Balance at end of period			

These accounts are used to prepare

Big Dog Carworks Corp.
Trial Balance
At January 31, 2021

Account	Debit	Credit
Cash	\$ 3,700	
Accounts receivable	2,400	
Prepaid insurance	2,200	
Equipment	3,000	
Accum. dep. – equipment		\$ 25
Truck	8,000	
Accum. dep. – truck		100
Accounts payable		700
Unearned revenue		100
Interest payable		19
Income tax payable		500
Notes payable		6,000
Common stock		10,000
Dividends	200	
Repair revenue		10,700
Dep. expense – equipment	25	
Dep. expense – truck	100	
Rent expense	1,600	
Insurance expense	200	
Interest expense	19	
Salaries expense	3,500	
Supplies expense	2,000	
Truck operation expense	700	
Income tax expense	500	
	<u>\$28,144</u>	<u>\$28,144</u>

Big Dog Carworks Corp.

^A At January 31, 2021

Assets

Cash		\$ 3,700
Accounts receivable		2,400
Prepaid insurance		2,200
Equipment	\$3,000	
Less: Accum. dep.	25	2,975
Truck	\$8,000	
Less: Accum. dep.	100	7,900
Total assets		<u>\$19,175</u>

Liabilities

Accounts payable	\$ 700
Unearned revenue	100
Interest payable	19
Income tax payable	500
Notes payable	6,000
Total liabilities	<u>\$7,319</u>

Equity

Common stock	
Retained earnings	
Total equity	<u>11,856</u>
Total liabilities and equity	<u>\$19,175</u>

The Common Stock and Retained Earnings balances are transferred to the balance sheet from the statement of stockholders' equity.

Adjusted Trial Balance at the End of of a Reporting Period

Account	Account Balance		
	Debit	Credit	
Cash	\$ 3,700		Asset accounts, liability ac- counts, and the _____ _____ are used to prepare the balance sheet.
Accounts receivable	2,400		
Prepaid insurance	2,200		
Equipment	3,000		
Accumulated depreciation – equipment		\$ 25	
Truck	8,000		Common stock, dividends, and the _____ _____ are used to prepare the statement of stockholders’ equity.
Accumulated depreciation – truck		100	
Accounts payable		700	
Unearned revenue		100	
Interest payable		19	
Income tax payable		500	Revenue and expense ac- counts are used to prepare the _____.
Notes payable		6,000	
Common stock		10,000	
Dividends	200		
Repair revenue		10,700	
Depreciation expense – equipment	25		Revenue and expense ac- counts are used to prepare the _____.
Depreciation expense – truck	100		
Rent expense	1,600		
Insurance expense	200		
Interest expense	19		
Salaries expense	3,500		
Supplies expense	2,000		
Truck operation expense	700		
Income tax expense	500		
Total debits and credits	\$28,144	\$28,144	

3

2

1

	2021	2022
Income Statement		
Statement of Shareholders' Equity		
Balance Sheet		
Cash Flow Statement		

	2021	2022	2023
Income Statement			
Statement of Shareholders' Equity			
Balance Sheet			
Cash Flow Statement			

Accounting information flow (8 steps in the accounting cycle)

- 1) Record transaction in a journal**
 - 2) Post journal entries to ledger(s)**
 - 3) Prepare an unadjusted trial balance**
 - 4) Record & post adjusting journal entries**
 - 5) Prepare an adjusted trial balance**
 - 6) Prepare financial statements**
 - 7) Record & post closing journal entries**
 - 8) Prepare a post-closing trial balance**
- Completing the accounting cycle**

5.1 Describe and Prepare Closing Entries for a Business

- Closing entries: Closing entries prepare a company for the next period and zero out balance in temporary accounts.
- Purpose of closing entries: Closing entries are necessary because they help a company review income accumulation during a period, and verify data figures found on the adjusted trial balance.
- Permanent accounts: Permanent accounts do not close and are accounts that transfer balances to the next period. They include balance sheet accounts, such as assets, liabilities, and stockholder's equity
- Temporary accounts: Temporary accounts are closed at the end of each accounting period and include income statement, dividends, and income summary accounts.
- Income Summary: The Income Summary account is an intermediary between revenues and expenses, and the Retained Earnings account. It stores all the closing information for revenues and expenses, resulting in a "summary" of income or loss for the period.
- Recording closing entries: There are four closing entries; closing revenues to income summary, closing expenses to income summary, closing income summary to retained earnings, and close dividends to retained earnings.
- Posting closing entries: Once all closing entries are complete, the information is transferred to the general ledger T-accounts. Balances in temporary accounts will show a zero balance.

PRINTING PLUS
Adjusted Trial Balance
For the Month Ended January 31, 2019

Account Title	Debit	Credit
Cash	\$24,800	
Accounts Receivable	1,200	
Interest Receivable	140	
Supplies	400	
Equipment	3,500	
Accumulated Depreciation: Equipment		\$ 75
Accounts Payable		500
Salaries Payable		1,500
Unearned Revenue		3,400
Common Stock		20,000
Dividends	100	
Interest Revenue		140
Service Revenue		10,100
Supplies Expense	100	
Depreciation Expense: Equipment	75	
Salaries Expense	5,100	
Utility Expense	300	
Total	<u>\$35,715</u>	<u>\$35,715</u>

Step 7a. Record Closing Entries

Closing entry 1:	DR	CR
Close revenue accounts to _____ account.		
Closing entry 2:	DR	CR
Close expense accounts to _____ account.		
Closing entry 3:	DR	CR
Close _____ to _____ account.		
Closing entry 4:	DR	CR
Close _____ to _____ account.		

PRINTING PLUS
Adjusted Trial Balance
For the Month Ended January 31, 2019

Account Title	Debit	Credit
Cash	\$24,800	
Accounts Receivable	1,200	
Interest Receivable	140	
Supplies	400	
Equipment	3,500	
Accumulated Depreciation: Equipment		\$ 75
Accounts Payable		500
Salaries Payable		1,500
Unearned Revenue		3,400
Common Stock		20,000
Dividends	100	
Interest Revenue		140
Service Revenue		10,100
Supplies Expense	100	
Depreciation Expense: Equipment	75	
Salaries Expense	5,100	
Utility Expense	300	
Total	<u>\$35,715</u>	<u>\$35,715</u>

Step 7b. Post Closing Entries to Ledger

Step 8: Prepare Post-Closing Trial Balance

PRINTING PLUS
Adjusted Trial Balance
For the Month Ended January 31, 2019

Account Title	Debit	Credit
Cash	\$24,800	
Accounts Receivable	1,200	
Interest Receivable	140	
Supplies	400	
Equipment	3,500	
Accumulated Depreciation: Equipment		\$ 75
Accounts Payable		500
Salaries Payable		1,500
Unearned Revenue		3,400
Common Stock		20,000
Dividends	100	
Interest Revenue		140
Service Revenue		10,100
Supplies Expense	100	
Depreciation Expense: Equipment	75	
Salaries Expense	5,100	
Utility Expense	300	
Total	<u>\$35,715</u>	<u>\$35,715</u>

PRINTING PLUS
Post-Closing Trial Balance
January 31, 2019

Account	Debit	Credit
Cash	\$24,800	
Accounts Receivable	1,200	
Interest Receivable	140	
Supplies	400	
Equipment	3,500	
Accumulated Depreciation: Equipment		\$ 75
Accounts Payable		500
Salaries Payable		1,500
Unearned Revenue		3,400
Common Stock		20,000
Retained Earnings		4,565
Total	<u>\$30,040</u>	<u>\$30,040</u>

Change of Retained Earnings

PRINTING PLUS
Adjusted Trial Balance
For the Month Ended [REDACTED], 2019

Account Title	Debit	Credit
Cash	\$24,800	
Accounts Receivable	1,200	
Interest Receivable	140	
Supplies	400	
Equipment	3,500	
Accumulated Depreciation: Equipment		\$ 75
Accounts Payable		500
Salaries Payable		1,500
Unearned Revenue		3,400
Common Stock		20,000
Dividends	100	
Interest Revenue		
Service Revenue		
Supplies Expense		
Depreciation Expense: Equipment		
Salaries Expense		
Utility Expense		
Total	<u>\$35,715</u>	<u>\$35,715</u>

PRINTING PLUS
Post-Closing Trial Balance
[REDACTED], 2019

Account	Debit	Credit
Cash	\$24,800	
Accounts Receivable	1,200	
Interest Receivable	140	
Supplies	400	
Equipment	3,500	
Accumulated Depreciation: Equipment		\$ 75
Accounts Payable		500
Salaries Payable		1,500
Unearned Revenue		3,400
Common Stock		20,000
Retained Earnings		
Total	<u>\$30,040</u>	<u>\$30,040</u>

REVIEW & SUMMARY

- The _____ trial balance is used to prepare financial statements.
 - 1) _____ is first prepared: shows the net income or loss as a result of revenue and expense activities occurring in a period.
 - 2) Net income (or loss) from the _____ statement is used to prepare the _____ part of the Statement of Owners' Equity (SOE): shows the effects of net income (loss) and dividends on the earnings the the company maintains.
 - 3) Once the equity accounts are updated, together with the ledger balances of _____ and _____ from the _____ trial balance, the _____ is prepared.
 - ✓ This financial statement visually represents the accounting equation, showing that assets balance with liabilities and equity.
- To prepare a company for the next period and zero out balance in _____ account, closing entries are made and then posted to the ledger.
_____ trial balance is prepared and only includes _____ accounts.



Questions?